

some time, projections indicate that consumer spending in India will surge over the next decade. According to a recent estimate by market intelligence firm Fitch Group's BMI Research, India is set to become the third-largest consumer and retail market by 2027, surpassing Germany and Japan. The market is expected to achieve a remarkable 25% compound annual growth rate (CAGR), crossing the \$1-trillion threshold by 2027 and reaching \$2 trillion by 2032. While precise forecasts for 2047 remain uncertain, experts largely agree that India's consumer market is expected to emerge as one of the Top 2 globally, with the potential to surpass the US, thereby underscoring the inherent aspirations present in the Indian economy.

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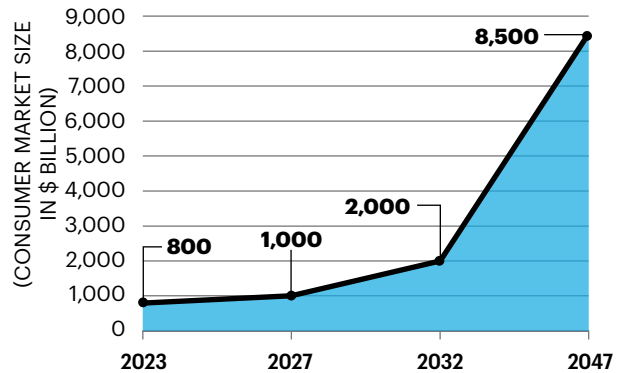
Consider the scale of India's consumer market: with 435 million consumers, it is currently second only to China's 899 million. The US, despite being the largest economy, ranks third with a consumer base of 240 million. According to the IMF, a consumer is defined as someone who spends at least \$12 (at purchasing power parity) per day.

By the end of the decade, while China is projected to add around 200 million new consumers, India's growth will outpace all other economies. The numbers from IMF bear this out. By 2030, India's consumer market is expected to expand to over 750 million, adding more than 300 million new consumers. Experts also point out that a significant driver of this growth will be India's young population. With one-third of its population aged between 20 and 33 years—who tend to spend more on discretionary items like electronics, beauty, automobiles, and so on—Indian household

GROWING APPETITE

- The consumer market can grow more than 10x by 2047
- Acceleration in growth is expected after 2032

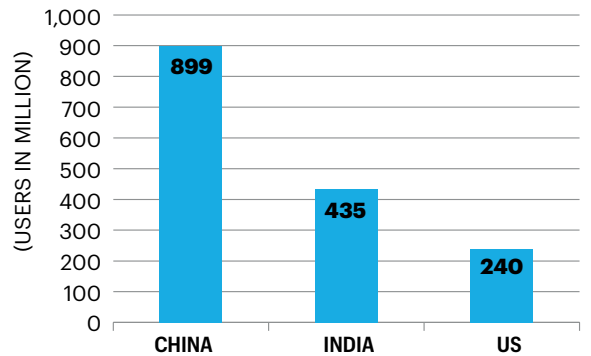
SOURCE
BCG, INDUSTRY



BIG MARKETS

- China holds the largest consumer base globally
- India's position underscores its potential to close the gap with China

NOTE DATA FOR 2023;
SOURCE IMF, INDUSTRY



spending is set to surpass that of other developing economies such as Indonesia, Thailand, and the Philippines, with a year-on-year growth rate of 7.8%.

“Overall, the gap between total household spending across Asean and India will also almost triple,” BMI researchers note.

But what will the trajectory of this growth entail? Mohit Malhotra, Chief Executive Officer of Dabur India, one of India's leading consumer goods companies, highlights four key factors that will shape the future of India's consumer market. “The growing affluence in India, rural demand, our rich demographic dividend, and technological advancements will be the four major drivers that will reshape

consumption in the FMCG space in the years to come,” Malhotra tells *Business Today*. He explains that as disposable income grows in the country, the movement is towards premiumisation. “With rising incomes and a growing middle class, there is an increasing demand for premium and high-quality products, particularly in urban India. Consumers are willing to pay a premium for products that offer better quality, unique features, or enhanced experiences,” he adds.

Malhotra's perspective is echoed by analysts at Boston Consulting Group (BCG), who note that Indian consumers earning more than ₹20 lakh annually are already spending significantly on luxury items such as cosmetics, beauty and health